Own stock vs marketplace listing

v3.0 · Joybuy's UK and European business · Benchmark: Amazon UK published fees, a stand-in until Joybuy publishes its own.

This is a decision-support overview, written so colleagues can review the method, challenge the assumptions, and improve the model. It asks, for five UK categories, whether a marketplace should stock a representative line itself (1P) or leave it with a third-party seller (3P). It is not a forecast, not a profit claim, and not Joybuy's actual numbers. Joybuy has not published a seller fee card. Contribution is not profit. Prices and weekly demand are Assumptions, in pounds, exclusive of the UK's 20% VAT, and were not scraped from retailer listings.

Purpose

The central lens is a scale-up entrant (Joybuy-like) versus an established marketplace (Amazon UK-like), and the 1P versus 3P mix that follows. Scenario A uses assumed lower 1P margins, higher per-unit fulfilment (low warehouse utilisation and a subsidised same-day promise), little advertising income, and a possibly lower introductory commission. Scenario B uses published retailer cost benchmarks, Amazon UK published referral fees as a labelled stand-in, scale fulfilment, and a material model-estimated ad take. A platform-maturity slider interpolates between them. All entrant parameters are Assumptions with stated reasoning.

The two scenarios, side by side

A · Entrant (Joybuy-like)

A scale-up marketplace, in the spirit of Joybuy's UK launch. 1P gross margin is below the Currys, Zalando and THG benchmarks (a 25% relative haircut). Per-unit fulfilment is 1.5 times the established rate, reflecting low warehouse utilisation and a subsidised same-day promise. Advertising take is 0.3% of selling price, because traffic and the advertiser base are thin. Commission is an assumed 7% introductory rate, not a published Joybuy fee (Joybuy has not published one). Every number in this scenario is an Assumption with stated reasoning.

Mid-band recommendations (20 sub-categories). Bring in-house 0 · Test as 3P first 5 · Keep 3P 15.
Implied 1P mix. 0% of sub-categories, 0% of modelled mid-band sales (Assumption: ex-VAT price × assumed weekly units).

B · Established (Amazon UK-like)

A mature marketplace, in the spirit of Amazon UK. 1P margins and fulfilment use the published Currys, Zalando and THG benchmarks (and labelled model estimates where a filing is not clean). Commission is the Amazon UK published referral schedule, labelled as a benchmark stand-in until Joybuy publishes its own. Advertising take is a 3% model estimate, informed by Amazon's published advertising revenue (US$68,635 million (FY2025)) but not computed as ads over 3P GMV, which Amazon does not publish. Amazon has disclosed that third-party sellers accounted for 61% of worldwide paid units (Q4 2025) (Q4 2025 earnings release, excluding Whole Foods). That is published context for an established mix, not a target this model is fitted to.

Mid-band recommendations (20 sub-categories). Bring in-house 5 · Test as 3P first 1 · Keep 3P 14.
Implied 1P mix. 25% of sub-categories, 6% of modelled mid-band sales.

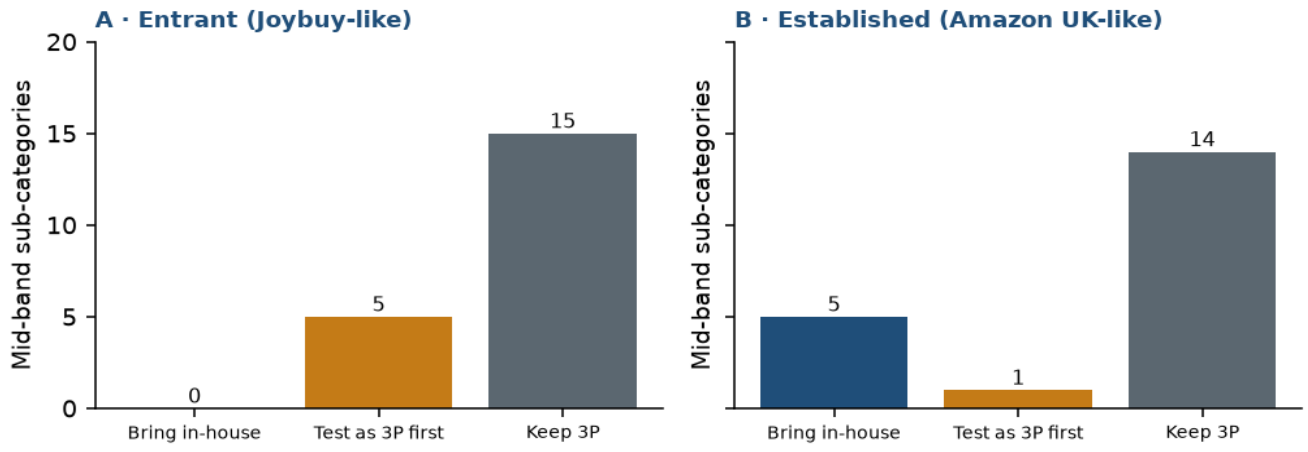


Figure 1. Mid-band recommendations under the default assumptions. Bring in-house is the 1P path; Test as 3P first and Keep 3P are the 3P path. These are model estimates, not Joybuy decisions.

Implied 1P mix, mid-band. Entrant (A): 0% of sub-categories and 0% of modelled sales. Established (B): 25% of sub-categories and 6% of modelled sales. 'Bring in-house' is the 1P path; 'Test as 3P first' and 'Keep 3P' are the 3P path. Modelled sales are an Assumption.

Why an entrant tends to start 1P, then shift toward 3P

An entrant tends to start with first-party retail, and then lean more on third-party sellers as the platform matures. Three practical reasons, in plain English:

1. Assortment and quality control. At launch the seller base is thin and untested. Buying and listing the goods yourself is how you control what appears on the site, how it is described, and how it is fulfilled. Joybuy launched in March 2026 as 1P only, with a curated marketplace test described as planned from the second half of 2026.

2. You cannot yet monetise third-party sellers through advertising. A mature marketplace earns a large part of its 3P income from ads, on top of commission. Amazon's FY2025 advertising services were US$68,635 million (FY2025). An entrant with little traffic and few advertisers does not have that income, so the 3P take is thinner, and the commercial case for opening the doors wide is weaker.

3. You have to fill your own warehouses. Joybuy has opened warehouses at Milton Keynes and Luton. Empty space is expensive. First-party stock, and later 3P volume routed through those sites, is how utilisation rises. Until utilisation is decent, per-unit fulfilment is high — which is already built into the entrant assumptions.

As traffic and the advertiser base grow, two things change. The 3P take gets richer (published-like commission, plus material ads, plus a warehouse margin on a real share of seller volume). And 1P economics usually improve (better buying terms, lower fulfilment per unit). The mix then tends to shift toward 3P for mid-tail and thinner-margin lines, while the platform may still stock the high-velocity, high-control head itself. Amazon's disclosed 61% of worldwide paid units (Q4 2025) is what a mature mix can look like on units. This model does not aim at that 61%; it shows how recommendations and modelled-sales mix move as the assumptions travel from A to B.

The unit-economics test is a separate question. If, at the assumed entrant margins, 1P contribution is thin or negative on some lines, that tension is shown honestly in the findings and in the decision table. Joybuy’s 1P-only launch is published context; it is not a result this model is forced to reproduce.

What this run is saying

Under scenario A (A · Entrant (Joybuy-like)), at the mid-price band (20 sub-categories), the recommendations are Bring in-house 0, Test as 3P first 5, Keep 3P 15 (of 20). That is 0% of sub-categories, and 0% of modelled mid-band sales, on the 1P path (Bring in-house). The rest is the 3P path: Test as 3P first or Keep 3P. Modelled sales are an Assumption (ex-VAT price times assumed weekly units), not observed GMV.

Under scenario B (B · Established (Amazon UK-like)), the mid-band recommendations are Bring in-house 5, Test as 3P first 1, Keep 3P 14 (of 20). That is 25% of sub-categories and 6% of modelled mid-band sales on the 1P path. The sales-weighted 1P share can be lower than the sub-category share when the 1P recommendations sit in lower-priced lines (beauty, baby care) and the higher-priced durables stay on the 3P path.

6 of 20 mid-band sub-categories change recommendation between A and B: Skincare (Test as 3P first under A, Bring in-house under B), Makeup (Test as 3P first under A, Bring in-house under B), Haircare (Test as 3P first under A, Bring in-house under B), Fragrance (Test as 3P first under A, Bring in-house under B), Baby care (toiletries, nappies, feeding) (Test as 3P first under A, Bring in-house under B), Baby clothing (Keep 3P under A, Test as 3P first under B).

The unit-economics test and Joybuy's actual 1P-only launch are not the same thing, and the model does not force them to agree. At the assumed entrant haircut and fulfilment multiple, 15 of 20 mid-band sub-categories have a negative 1P contribution, and 0 are recommended Bring in-house. Joybuy launched as 1P only in March 2026. That launch is published context. It is a strategic and operational choice (assortment control, filling Milton Keynes and Luton, no ad monetisation yet), and it may run at a thin or negative contribution on some lines while the platform scales. That tension is a finding for reviewers, not a result the model hides. See the open questions on the entrant haircut and fulfilment multiple.

Beauty is the category that most clearly clears the 1P money test once the platform is established: THG Beauty's 39.3% adjusted gross margin, even after THG's 12.3% group distribution proxy, leaves more contribution than a mature 3P take (Amazon UK's 15% beauty referral on prices above £10, grossed up for VAT, plus a material ad take). At the entrant end, beauty is close: 1P contribution sits near the thinner introductory take, so the recommendation is Test as 3P first rather than a clear Bring in-house. Baby care, which uses the same THG proxy, follows the same pattern.

Electronics and appliances stay on the 3P path in both scenarios under these assumptions. Currys' 18.3% group gross margin, after a 12% fulfilment estimate, extra markdown and holding, leaves a thin established 1P contribution (around

three percent of selling price), which does not beat a mature 3P take of Amazon's 7% referral grossed up for VAT (8.4% of ex-VAT) plus ads and a warehouse margin. At the entrant end, the same lines have a negative 1P contribution. Currys' 18.3% is a group figure including services and the Nordics, and the 12% fulfilment rate is a model estimate: both are open questions. The model does not invent a better electronics margin to make 1P look stronger.

Clothing also stays on the 3P path in both scenarios. Zalando's 39.9% gross margin is high, but Zalando's 23.0% fulfilment-cost ratio (an EU figure, already reflecting fashion returns) uses most of it, and a mature clothing take (Amazon UK's tiered referral, plus ads) is also high. This is consistent with fashion being a natural later 3P expansion.

As platform maturity rises, two forces pull in opposite directions. 1P economics usually improve (the margin haircut and the fulfilment penalty fade). The 3P take gets richer (commission moves toward Amazon UK published referral, advertising becomes material). In this set of archetypes the first force is what flips beauty and baby care from a close Test to Bring in-house, fairly early on the slider. The second force keeps thin-margin durables and fashion on the 3P path, and is why a mature marketplace can have a deep seller base. Amazon has disclosed that third-party sellers accounted for 61% of worldwide paid units in Q4 2025; this model is not fitted to that 61%, and its modelled-sales mix is an assumption-driven output, not a forecast of Joybuy's mix.

Nuance

Contribution is not profit. The 1P figure is selling price minus cost of goods, fulfilment, a CV-scaled extra markdown and physical holding. It does not subtract central overhead, marketing the platform does on its own account, or tax. The 3P figure is what the platform keeps (commission, plus ads, plus a warehouse margin), not what the seller pays. The seller also pays the gross fulfilment fee, which is larger than the platform's margin.

Return on stock is the second money test. A positive 1P contribution can still fail if inventory turns too slowly. The 25% hurdle is an Assumption, set above a typical UK retailer's cost of capital (usually high single digits) because it is a return-on-inventory bar, not a WACC. Currys' published 60 stock days are the electronics cover; fashion and beauty use an assumed 50 days. Joybuy has not published a hurdle or a stock-days figure.

Demand risk is a cost and a warning, not an automatic override. Assumed weekly CV raises safety-stock days and an extra markdown. The mid-tail rule (Jiang, Jerath and Srinivasan, 2011) sends unproven or long-tail lines to 3P first even when the money tests would favour 1P. You can turn that rule off.

Stocking a line as 1P can cannibalise 3P sellers of the same goods, and opening a line to 3P can cannibalise 1P. The model compares contribution on a single representative unit. It does not model competitive response, buy-box rules, or a seller's decision to leave the platform.

At the entrant end, mid-band 1P contribution ranges from -7.8% to 8.3% of the ex-VAT price. At the established end it ranges from 2.9% to 24.4%. Negative contribution means 1P loses money on the unit before overhead. That is a legitimate entrant outcome under these Assumptions, and it is labelled as such.

Platform maturity and the mix shift

The optional platform-maturity slider in the app interpolates linearly from A to B: the 1P margin haircut fades, fulfilment falls toward the established rate, commission blends from the assumed introductory rate toward Amazon UK published referral, and advertising and the warehouse margin move toward their established values. The chart below is the implied 1P mix along that path, under the default assumptions.

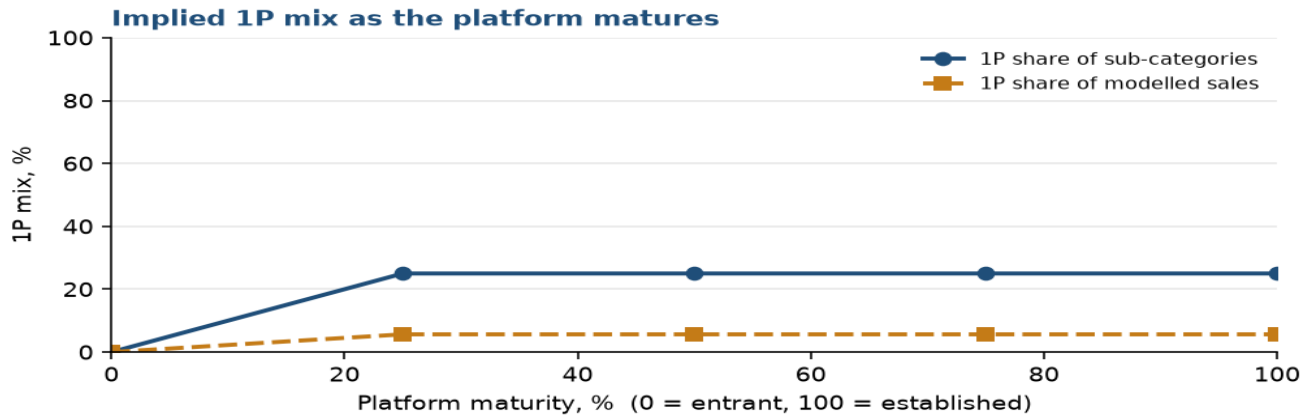


Figure 2. Implied 1P mix along the platform-maturity slider. The sales-weighted share can sit well below the sub-category share when 1P recommendations are in lower-priced categories (beauty, baby care) and higher-priced durables stay on the 3P path. Both series are model outputs on assumed prices and weekly units, not observed GMV, and not fitted to Amazon's disclosed 61% third-party share of paid units.

Decisions per sub-category, under each scenario

One mid-price band per sub-category. Prices are Assumptions in GBP, ex-VAT. Contribution and the 3P take are shares of that ex-VAT price. A flip means the recommendation changes between A and B.

Category	Sub-category	Mid price (ex-VAT)	A 1P contrib.	A 3P take	A rec.	B 1P contrib.	B 3P take	B rec.	Flip
Home appliances	Laundry (washing machines and dryers)	£400	-7.1%	8.9%	Keep 3P	3.5%	11.9%	Keep 3P	—
Home appliances	Refrigeration	£500	-7.1%	8.9%	Keep 3P	3.5%	11.9%	Keep 3P	—
Home appliances	Cooking (ovens, hobs, cookers)	£400	-7.3%	8.9%	Keep 3P	3.3%	11.9%	Keep 3P	—
Home appliances	Compact appliances (kettles, microwaves, vacuums)	£80	-7.3%	8.9%	Keep 3P	3.3%	21.5%	Keep 3P	—
Computers and office	Laptops	£700	-7.1%	8.9%	Keep 3P	3.5%	11.9%	Keep 3P	—
Computers and office	Tablets	£300	-7.1%	8.9%	Keep 3P	3.5%	11.9%	Keep 3P	—
Computers and office	Peripherals (keyboards, mice, webcams)	£35	-7.5%	8.9%	Keep 3P	3.1%	21.5%	Keep 3P	—
Computers and office	Office equipment (printers, ink, desks)	£150	-7.5%	8.9%	Keep 3P	3.1%	21.5%	Keep 3P	—
Beauty	Skincare	£28	8.3%	8.9%	Test as 3P first	24.4%	21.5%	Bring in-house	Yes
Beauty	Makeup	£18	8.1%	8.9%	Test as 3P first	24.2%	21.5%	Bring in-house	Yes
Beauty	Haircare	£16	8.3%	8.9%	Test as 3P first	24.4%	21.5%	Bring in-house	Yes
Beauty	Fragrance	£55	8.1%	8.9%	Test as 3P first	24.2%	21.5%	Bring in-house	Yes
Clothing	Everyday clothing	£30	-7.7%	8.9%	Keep 3P	13.9%	21.5%	Keep 3P	—
Clothing	Outerwear	£80	-7.7%	8.9%	Keep 3P	13.9%	15.9%	Keep 3P	—
Clothing	Footwear	£55	-7.5%	8.9%	Keep 3P	14.1%	17.7%	Keep 3P	—
Clothing	Sportswear	£40	-7.5%	8.9%	Keep 3P	14.1%	19.9%	Keep 3P	—
Mother and baby	Baby care (toiletries, nappies, feeding)	£12	8.3%	8.9%	Test as 3P first	24.4%	21.5%	Bring in-house	Yes
Mother and baby	Baby clothing	£16	-7.5%	8.9%	Keep 3P	14.1%	15.5%	Test as 3P first	Yes
Mother and baby	Pushchairs	£250	-7.8%	8.9%	Keep 3P	2.9%	21.5%	Keep 3P	—
Mother and baby	Car seats and safety	£160	-7.5%	8.9%	Keep 3P	3.1%	21.5%	Keep 3P	—

Table 1. 6 of 20 mid-band sub-categories change recommendation between the entrant and the established scenario. Model estimates on assumed price points, not Joybuy decisions.

Implied 1P mix by category

Category	A: 1P subs	A: 1P share of subs	A: 1P share of sales	B: 1P subs	B: 1P share of subs	B: 1P share of sales
Home appliances	0 of 4	0%	0%	0 of 4	0%	0%
Computers and office	0 of 4	0%	0%	0 of 4	0%	0%
Beauty	0 of 4	0%	0%	4 of 4	100%	100%
Clothing	0 of 4	0%	0%	0 of 4	0%	0%
Mother and baby	0 of 4	0%	0%	1 of 4	25%	10%

Table 2. 1P path share of sub-categories and of modelled mid-band sales, by category. Modelled sales are an Assumption.

Breakeven chart

Each point is a mid-band sub-category. The vertical axis is 1P contribution as a share of the ex-VAT price (the 3P take at which the platform is indifferent on contribution). The horizontal axis is the effective 3P take. Circles are the entrant (A); squares are the established marketplace (B). Points above the dashed diagonal have 1P ahead on contribution. Contribution can be negative.

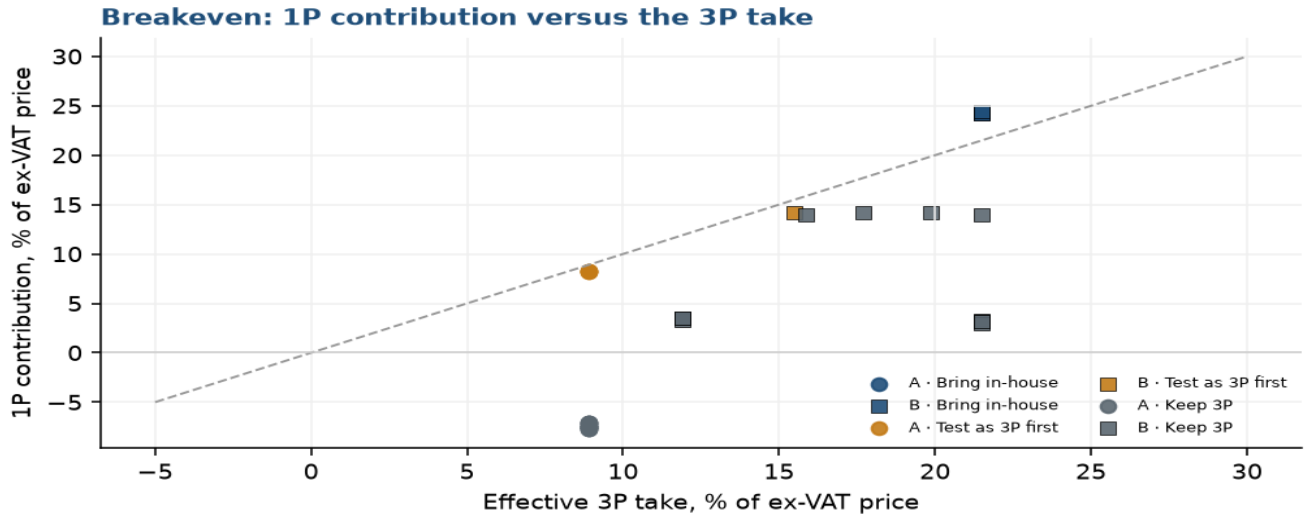


Figure 3. 1P contribution versus the 3P take, mid band, scenarios A and B.

The four tests, and the decision rules

1. Contribution per unit. What is kept if we stock it, versus the 3P take if we list it. 1P has to beat the take. 1P contribution is ex-VAT price, minus cost of goods at the (maturity-adjusted) gross margin, minus fulfilment, minus a CV-scaled extra markdown, minus physical holding. The 3P take is commission (introductory Assumption at the entrant end; Amazon UK published referral as a benchmark stand-in at the established end, applied on the VAT-inclusive price) plus advertising and the platform's warehouse margin, only for the assumed share of 3P sales fulfilled through Milton Keynes and Luton.

2. Inventory liquidity. Stock days and turn. Currys' published 60 stock days (Published (Currys plc Annual Report & Accounts 2025/26), page 50) for electronics and durables; an assumed 50 days for fashion and beauty.

3. Return on stock (GMROI). (1P contribution × 52) / (cost of goods × effective cover in weeks), tested against a 25% hurdle. The 25% return-on-stock hurdle used in the money test is an Assumption, not a published WACC. A listed UK retailer's weighted average cost of capital typically sits in the high single digits (third-party estimates vary and are not used as a model input). The inventory hurdle is a return-on-stock bar, which a retailer may set well above WACC to cover risk, markdowns and scarce warehouse space. It is not equal to the cost of capital, and it is not Joybuy's published hurdle (Joybuy has not published one).

4. Demand predictability. Assumed weekly velocity and CV drive the mid-tail rule (Jiang, Jerath and Srinivasan, 2011) and a safety-stock add-on. Volatility is a cost and a warning, not an automatic override. A strategic tilt (Hagiu and Wright, 2015; Joybuy's 1P-only launch) applies only in close cases, and never overturns a clear money loss.

Compare 1P contribution with the 3P take

The paper compares agency selling (the supplier sells on the platform and pays a commission; the platform does not take inventory) with reselling (the platform buys and resells, sets the price, and earns a merchandise margin). Agency is more channel-efficient and tends to lower retail prices, but hands pricing control to the supplier. The platform's choice depends on which format yields more, given costs, control, and cross-channel effects. That is the basis for comparing 1P contribution with the 3P commission take. Abhishek, Jerath and Zhang (2016), Management Science 62(8), 2259–2280.

In this model. 1P contribution is the ex-VAT selling price, minus cost of goods at the (maturity-adjusted) gross margin, minus fulfilment, minus a CV-scaled extra markdown, minus physical holding. The 3P take is the commission layer (an assumed introductory rate at the entrant end, or Amazon UK published referral as a labelled benchmark stand-in at the established end, applied on the VAT-inclusive price) plus, in the full-take run, a model-estimated advertising take and the platform's warehouse margin on an assumed share of sellers using Milton Keynes and Luton. Bring in-house needs 1P to beat that take. A fees-only mode drops ads and the warehouse margin.

Return on inventory has to clear a hurdle

Retailers judge 1P not only on unit contribution but on what the stock earns on the capital it ties up (GMROI, or return on inventory). Currys publishes group stock days of 60 (Annual Report 2025/26, page 50), used as the electronics cover. The 25% return-on-stock hurdle used in the money test is an Assumption, not a published WACC. A listed UK retailer's weighted average cost of capital typically sits in the high single digits (third-party estimates vary and are not used as a model input). The inventory hurdle is a return-on-stock bar, which a retailer may set well above WACC to cover risk, markdowns and scarce warehouse space. It is not equal to the cost of capital, and it is not Joybuy's published hurdle (Joybuy has not published one). Published (Currys plc Annual Report 2025/26), page 50, stock days 60.

In this model. Return on stock = (1P contribution × 52) / (cost of goods × effective cover in weeks). Effective cover is the category base (Currys 60 days for electronics and durables; an assumed 50 days for fashion and beauty) plus safety stock that scales with assumed CV.

High-volume, predictable lines to 1P; the unproven tail to 3P first

The paper records that Amazon tends to stock and sell high-demand products itself and leave long-tail products to independent sellers who pay a fee. For mid-tail products, where demand is uncertain in advance, the platform may learn from early third-party sales which items are worth selling directly. That is the basis for the model's 'test as 3P first on the unproven tail' rule: it is a learning step, not an automatic rejection of 1P. Jiang, Jerath and Srinivasan (2011), Marketing Science 30(5), 757–775.

In this model. Assumed weekly velocity is labelled high, mid or low, and is an assumption, not observed sales. If 1P wins the money tests but assumed demand is a long tail (low velocity), the recommendation is Keep 3P. If assumed demand is mid-velocity with a high weekly swing, the recommendation is test as 3P first. High-velocity, money-winning lines go to 1P. You can turn this rule off.

Category control, only in close cases

The paper treats the 1P vs 3P choice as a question of who should hold control rights over non-contractible decisions (marketing, pricing, fulfilment, service): the intermediary (reseller / 1P) or the supplier (marketplace / 3P). Reseller mode is preferred when the intermediary has the more important information, or when activities spill over across products. Marketplace mode is preferred when independent suppliers have better product-specific information (for example, style and fit in fashion). That is the basis for a documented strategic tilt in close cases: electronics and appliances, where JD's fulfilment and authenticity are named strengths, lean 1P; fashion, where suppliers often know the SKU better, leans 3P. Hagiu and Wright (2015), Management Science 61(1), 184–203; Joybuy launched as 1P-only in March 2026 (Operator One, September 2026; ChannelX, June 2026).

In this model. A documented tilt applies only when a money test is already within 10% of the line. Electronics, appliances, pushchairs and car seats tilt to 1P (control, safety, warehouse fill). Fashion stays as test-first (sellers often have better style and fit information). Beauty and baby care, where authenticity matters, tilt to 1P if demand is not a long tail. The tilt never overturns a clear money loss, and you can turn it off.

Volatility is a cost and a warning, not an automatic override

A weekly coefficient of variation above 1 means the standard deviation of weekly units is larger than the average itself: demand is, in that sense, highly variable. This is a conventional statistical bar, not a figure from a filing. The model uses it as a warning only. Extra safety stock and an extra markdown already scale with each archetype's assumed CV, so more variable lines are treated more cautiously in the money tests whether or not they cross the bar. In this version, weekly CVs are assumptions, not observed sales. The app also reports decisions if the bar is 0.75 or 1.5. Standard safety-stock rule: extra units = z × demand standard deviation over the lead time, which in weekly terms is z × CV × average weekly units × sqrt(lead time in weeks). Expressed in days of cover: z × CV × sqrt(L) × 7. z = 1.65 corresponds to a 95% cycle-service level under a normal-demand assumption. Lead time of 2 weeks is an assumption. This is an operations formula, not a figure from a company filing. Operations formula (safety stock) and a conventional CV > 1 warning bar; not a filing figure.

In this model. Assumed weekly CV raises safety-stock days and an extra markdown of 4% × CV (an assumption). A warning is raised when assumed CV is above 1. The warning does not, by default, change the recommendation. In this version CVs are assumptions, not observed series.

Entrant versus established marketplace

A new marketplace and a mature one do not have the same 1P costs or the same 3P take. Joybuy launched 1P-only; Amazon has disclosed that third-party sellers accounted for 61% of worldwide paid units in Q4 2025. Joybuy launch: Operator One, September 2026; ChannelX, 15 June 2026. Amazon seller unit mix: Q4 2025 earnings release, 5 February 2026.

In this model. Scenario A (entrant) applies assumed lower 1P margins, higher fulfilment, a near-zero ad take and an introductory commission. Scenario B (established) uses published retailer benchmarks, Amazon UK published referral fees as a stand-in, and a material model-estimated ad take. A maturity slider interpolates between them. All entrant numbers are Assumptions with stated reasoning.

Data sources

Every published figure has a document and a location. Joybuy seller commission is not among them.

Joybuy launch and unpublished fees

Joybuy launched in March 2026 in the UK, Germany, the Netherlands, France, Belgium and Luxembourg as a first-party (1P) retail offer. A curated marketplace test was described as planned from the second half of 2026 (Joybuy spokesperson to The Grocer, 9 June 2026, as reported by Operator One). Fulfilment warehouses are at Milton Keynes and Luton. Sellers, when invited, may use Joybuy fulfilment or self-fulfil. Same-day delivery has been described as 'order by 11am' (ChannelX, June 2026). The UK entity is Jingdong Retail (UK) Limited.

Joybuy has not published a seller commission or fee card. Operator One ('Sell on Joybuy: An Invited Partner's Guide', September 2026) states that Joybuy had not published fees, commission or seller requirements as of September 2026. ChannelX (June 2026) similarly reported that marketplace fees were not then available. The public Joybuy partner page (joybuy.co.uk/help/partner-with-Joybuy) does not list commission rates. Circulating 5–10% USD figures are unverified and are not used as published rates. Until Joybuy publishes its own card, the 3P commission in the established scenario is the Amazon UK published referral schedule, labelled as a benchmark stand-in.

VAT

Assumed selling prices in this model are exclusive of VAT, in line with how UK company accounts report revenue. Amazon UK referral fees are charged as a percentage of the total sales price, which is VAT-inclusive. The model therefore applies the published Amazon referral schedule to the VAT-inclusive equivalent (ex-VAT price × 1.20) and reports the effective take as a share of the ex-VAT price. A 7% referral on a VAT-inclusive price is 8.4% of the ex-VAT price.

Figure	Value	Where	Label
Currys group gross margin	18.3% (1,697 / 9,254)	Annual Report 2025/26, Note 3, page 132 (period ended 2 May 2026). Group figure, including services and the Nordics. UK&I EBIT 2.9% is not used as GM.	Published (Currys plc Annual Report & Accounts 2025/26)
Currys stock days	60 days (from 62)	Annual Report 2025/26, Performance review, page 50.	Published (Currys plc Annual Report & Accounts 2025/26)
THG Beauty adjusted GM	39.3% (FY2025; 40.0% in FY2024)	THG FY2025 results: 'Adjusted gross profit margin for the year stood at 39.3% (2024: 40.0%)'. Multi-geography.	Published (THG FY2025 results)
THG group distribution	12.3% of group revenue (from 13.1%)	THG FY2025 results. Group figure (Beauty and Nutrition), used as a beauty fulfilment proxy.	Published (THG FY2025 results)
Zalando gross margin	39.9% (40.7% in 2024); cost of sales 60.1% of revenue	FY2025 combined management report, page 82. EU figure.	Published (Zalando SE Annual Report 2025)
Zalando fulfilment	23.0% of revenue (22.9% in 2024)	FY2025 combined management report, page 82. EU figure.	Published (Zalando SE Annual Report 2025)
Amazon WW seller unit mix	61% of worldwide paid units (Q4 2025)	Q4 2025 earnings release, 5 February 2026. Excludes Whole Foods. The FY2025 10-K does not repeat this metric.	Published (Amazon Q4 2025 earnings release, 5 February 2026)
Amazon advertising	US$68,635 million (FY2025)	Amazon 10-K FY2025. Sold to sellers, vendors, publishers, authors and others. 3P GMV is not published.	Published (Amazon 10-K FY2025)
Amazon UK referral fees	7% to 15% by category, with clothing and beauty tiers; minimum £0.25	sell.amazon.co.uk/pricing. Used as a labelled stand-in, not as Joybuy's fees. Applied on the VAT-inclusive price.	Benchmark: Amazon UK published fees

Table 3. Published and benchmark figures used in the UK model.

Parent company context (JD.com in China) — not Joybuy UK figures

JD.com's FY2025 20-F reports net product revenues of RMB 1,023.8 billion (78.2% of total net revenues) and net service revenues of RMB 285.3 billion (21.8%). Product revenue is 1P, recorded gross. Service revenue includes marketplace commissions, marketing, logistics and other services, recorded net. 78.2% is therefore a share of *revenue*, not a share of units or of goods sold, and overstates 1P's share of goods because 3P GMV is not in the denominator. The 20-F does not publish GMV. These figures are parent company context for JD in China; they are not Joybuy UK operating numbers.

Entrant assumptions, with reasoning

Every numerical parameter on the entrant side is an Assumption. Please challenge them; they are the main open questions.

Parameter	Default	Reasoning
1P gross-margin haircut (relative)	25%	Assumption. A scaling entrant is unlikely to earn a Currys-, Zalando- or THG-like gross margin from day one: purchasing scale is smaller, prices may be promotional, and same-day or launch offers can be subsidised. A 25% relative haircut is a round, reviewable starting point, not a filing figure. Reviewers should test 10% and 40%.
1P fulfilment multiple	1.5×	Assumption. Joybuy is fulfilling from two UK warehouses (Milton Keynes and Luton) with early, still-ramping volume, and has offered subsidised same-day delivery (order by 11am, ChannelX). Low utilisation and a same-day promise both raise per-unit fulfilment relative to a scaled network. 1.5 times the established rate is a reviewable starting point, not a Joybuy cost disclosure (Joybuy has not published one).
Advertising take, entrant	0.3%	Assumption. An entrant with a thin seller base and little UK traffic has few advertisers. Sponsored-ads income is close to empty at launch; 0.3% of selling price is a small non-zero placeholder so the slider can move, not a published Joybuy ads rate.
Advertising take, established	3.0% (range 1.5–5%)	Model estimate, central 3.0%, range 1.5% to 5.0%. Amazon's FY2025 10-K reports advertising services of US$68,635 million (FY2025), sold to 'sellers, vendors, publishers, authors, and others' — not 3P-only. Amazon does not publish 3P GMV, so an official ads-to-GMV take cannot be computed and is not fabricated. 3% is a labelled central estimate for a mature marketplace with a deep advertiser base, used only in the established scenario and the mature end of the slider.
Introductory commission	7% (sensitivity 5–8%)	Assumption, default 7%, with a 5–8% sensitivity. Joybuy has not published a commission. A new marketplace may undercut a mature incumbent to attract sellers. 7% sits near the low end of Amazon UK's published referral schedule (7% on computers and full-size appliances, 15% on many other categories). This is not a Joybuy rate.
Warehouse share, entrant / established	80% / 60%	Assumption. ChannelX reports that sellers may use Joybuy fulfilment or self-fulfil. An entrant that has already opened Milton Keynes and Luton has a reason to route a high share of 3P volume through those sites to fill them. 80% is a high assumed share, not a published figure. The established share (60%) is also an assumption, in the region of a mature FBA-like network, not an Amazon disclosure of FBA's share of 3P units.
Logistics margin, entrant / established	3% / 10%	Assumption. The platform keeps only its margin on warehouse fulfilment, and only for the assumed share of 3P sales that go through Milton Keynes and Luton. A subsidised same-day offer and low utilisation make a thin margin (3%) more plausible for the entrant than a mature 10%. If same-day is deeply subsidised the margin could be zero or negative; that is an open question for reviewers. The established 10% is also an assumption, not Amazon's or JD Logistics' published UK margin.

Table 4. Entrant (and some established) parameters. All Assumptions or model estimates, with reasoning.

Open questions for reviewers

This overview exists so that others can improve the model. The entrant assumptions are the most important things to challenge. Please send comments on any of the following.

1. Entrant gross-margin haircut

Is a 25% relative reduction on Currys, Zalando and THG margins a fair picture of a scaling Joybuy, or is it too harsh or too kind? What haircut would you use, and why?

2. Entrant fulfilment multiple

Is 1.5 times established fulfilment the right order of magnitude for two warehouses, low utilisation and a subsidised same-day promise? Would you use 1.3 times, 2 times, or a pound-per-parcel add-on instead?

3. Entrant advertising take

Is 0.3% of selling price a reasonable near-zero for a thin advertiser base, and is 3% (range 1.5–5%) a fair central estimate for a mature UK marketplace, given that Amazon's ads revenue is published but 3P GMV is not?

4. Introductory commission

Joybuy has not published a fee. Is a 7% introductory commission (sensitivity 5–8%), applied on the VAT-inclusive price, a sensible stand-in for an entrant that may undercut Amazon UK? When — if ever — would you expect Joybuy's fees to look like Amazon's?

5. Warehouse share and logistics margin

The model gives the entrant a high assumed warehouse share (80%) and a thin logistics margin (3%), because of utilisation and same-day subsidy. Could that margin be zero or negative? What share would you assume once invited sellers can self-fulfil?

6. Currys 18.3% as an electronics GM

Currys' 18.3% is group gross margin (Note 3, page 132), including services, credit and the Nordics. The report does not publish a UK&I; or product-only GM. Is this an acceptable benchmark, or should electronics 1P use a lower product-only assumption?

7. Electronics fulfilment estimate

Established online electronics fulfilment is a 12% model estimate. Currys does not publish an online fulfilment ratio; Amazon's 15.2% is fulfilment as a share of total net sales, including AWS. What rate would you use?

8. Mother and baby proxies

No current public UK baby-specialist filing was used. Baby care borrows THG Beauty's 39.3%, baby clothing borrows Zalando's 39.9%, and pushchairs and car seats borrow Currys' 18.3%. Are those acceptable proxies?

9. Assumed prices and weekly demand

GBP price bands and weekly units are Assumptions, set in a plausible UK range, not observed Joybuy or Amazon sales, and not scraped from retailer listings. Do the mid-band prices look like a typical UK basket in each category?

10. Unit economics versus the 1P launch

Joybuy launched 1P-only. If, at the assumed entrant margins, 1P contribution is thin or negative in some categories, that is a tension the model should show, not hide. Do you read that as a reason to revisit the haircut and fulfilment assumptions, or as a fair picture of a strategic 1P launch that may run at a low contribution while the platform scales?

Limits

Prices, weekly units and CVs are Assumptions, set in a plausible UK range, not observed Joybuy or Amazon sales, and not scraped from retailer listings. Joybuy has not published fees, 1P margins, fulfilment costs or a hurdle. Amazon UK fees are a labelled stand-in. Advertising takes are model estimates, because Amazon does not publish 3P GMV and sells ads to first-party vendors as well as to sellers. Currys' 18.3% is group gross margin, including services and the Nordics. Zalando figures are EU. THG Beauty is multi-geography. Established online electronics fulfilment (12%) is a model estimate. Mother and baby uses adjacent proxies (THG, Zalando, Currys). The 25% inventory hurdle is an Assumption. The model compares contribution on a single representative unit; it does not model competitive response, buy-box rules, or a seller's decision to leave. Amazon's disclosed 61% third-party share of worldwide paid units (Q4 2025) is published context for a mature mix; this model is not fitted to it.

The interactive model (Streamlit) lets you move the platform-maturity slider, change the entrant haircut, fulfilment multiple, introductory commission and advertising takes, and inspect a worked example for any sub-category. Run streamlit run streamlit_app.py from the repository.

Independent portfolio project on Joybuy's UK and European business. It uses published UK and EU retailer filings, Amazon UK published referral fees as a labelled benchmark stand-in (Joybuy has not published a seller fee card), stated Assumptions for the entrant scenario, and model-estimated advertising and warehouse-margin takes. This is decision support, not a forecast, and not a description of Joybuy's actual numbers or of any live SKU. Portfolio project. Made by Ami Sata.